

We originally wanted individuals. Actually, the first person who inspired this idea, the one who had posted his analysis of a complicated trade on a Yahoo message board, had a job working in a supermarket. He is a brilliant guy, and he is now working as an analyst. The people in the club have varied backgrounds. Although we had envisioned it as a club for individual investors, it quickly attracted a lot of professionals who wanted to share in the ideas. About half of the 250 members in the club are professional managers.

Once people are accepted into the Value Investors Club, do they still continue to post new ideas? What is the incentive for them to do so?

There are no membership fees, but we require each member to submit two idea write-ups per year and to assign a rating to 20 other ideas. If you are willing to share your best ideas, then you can stay in; if you're not, you are asked to leave.

Is the website only visible to the 250 club members?

Right now, for teaching purposes and to attract talent, we do allow nonmembers to have access to posted ideas with a 90-day lag or access with a 45-day lag if they register. Since the ideas are value-based, many of them are still timely even after these lags.

What are the three biggest mistakes investors make?

First, succumbing to emotions. They tend to make investment decisions based on an emotional response to price action or what they read in the papers or hear on the news. Second, investing without knowledge. If you can't value a company, you have no basis on which to invest. Valuing a company is pretty hard, and probably no more than 1 percent or 2 percent of investors have the ability to properly value companies. You can't buy companies for a lot less than they are worth unless you can figure out what they are worth in the first place. Third, placing too much weight on the recent past performance of managers.

We inadvertently created an interesting experiment that vividly demonstrated the impact of investor errors. After I wrote *The Little Book That Beats the Market*, we set up a website called magicformulainvesting.com. At the time, I wasn't planning on managing